Smith also had cause to believe, and with good reason, that Grigg was bypassing him and dealing directly with Taylor and others even when he was available. Smith was bypassed by Grigg's direct communication with Taylor and Sir Sikander, as well as the Viceroy, the Under Secretary of State (S.F. Stewart) and the Bank of England (Montagu Norman and Otto Niemeyer). Smith wrote to Grigg in May 1936 pointing out what he called the 'studied discourtesy of your department in continually ignoring me by sending communications to Taylor personally.'[17] On one occasion even the loyal Taylor was embarrassed enough to write to Grigg and Nixon (the Finance Secretary) that the practice of addressing code telegrams to officers by name might give rise to misunderstanding. But Taylor himself did not hesitate to bypass Smith on numerous occasions. Things reached such a sorry pass that Smith once learned of Grigg's indisposition through the financial weekly, *Capital*.

This distrust only served to exacerbate the differences he had with Taylor. Relations between the Governor and his Deputy deteriorated to such an extent that the two took great pains to avoid each other. The animosity seems to have assumed absurd proportions with each taking long leave of absence to avoid the other. In 1935, Smith went to England in connection with the opening of the bank's London branch, and he stayed there for almost five months which included his taking a 'cure'. On his return, Taylor went on six months leave for 'convalescence.'[18] Shortly after Taylor returned, Smith again sailed for England, a visit which once again was to last for five months, and during which Grigg prepared the ground for Smith's departure from the bank.

Smith was closely identified with big industrial interests in Bombay like Sir Homi Mody who were beginning to be disillusioned with the Lancashire pact and moving closer to the Congress. Apart from Purshotamdas, one of Smith's closest friends was A.D. Shroff, a stockbroker and an outstanding economist. Shroff had also been one of the expert witnesses before the Joint Select Committee of the Central Legislative Assembly which led to the establishment of the RBI. Shroff, who was by then an articulate champion of India's economic development, sympathized with Smith's struggle to maintain the independence of the RBI and prevent it from becoming yet another department of the government.